PROJECT ORACLE · NATIONAL AUTOMOTIVE ECONOMIC INTELLIGENCE · 24-MONTH HORIZON

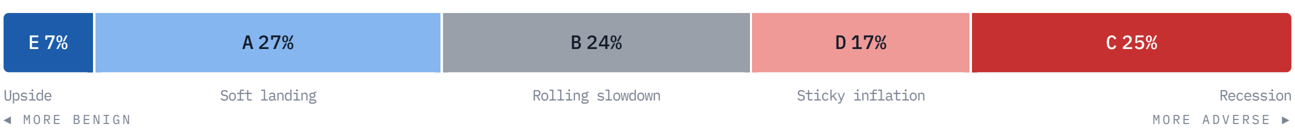
The hiring freeze broke first.

July payrolls printed **−23K** — the first negative month of the cycle, with 103K of back revisions — while layoffs stayed at record lows. The Fed held 9–3 and the hike scare died in nine days. July SAAR eased to **16.3M**, missing forecast, yet every public dealer group **beat** earnings on orderly gross compression. Canada's 50% tariff fires **August 19**. The odds below moved accordingly — evidence and deltas documented, as always.

Where the next 24 months land

Scenario probabilities to July 2028 · red-team adjusted · probabilities are judgments, not measurements

34% BENIGN (E+A) ADVERSE (B+D+C) **66%**



Plus a **~40% supply-shock overlay** (raised from ~25%) — Canada's 50% tariff on Canadian-built vehicles is signed and dated for **Aug 19 with no USMCA relief**; chip/rare-earth truce expires Nov 10. It can land on any scenario and flips the P&L sign: volume down, gross *up*, 2021-style.

AUG 11 NY Fed Q2 debt report · July credit index

AUG 12 July CPI

AUG 17 July affordability index

AUG 19 Canada 50% tariffs effective

SEP 15–16 FOMC (~44% hike priced)

NOV 10 Chip/rare-earth truce expiry

NOV 3 Midterms

01 · WHAT CHANGED Six months that rewrote the board

You are not forecasting from calm — you are forecasting from aftershocks. Five shocks landed in H1 2026; the past ten days added a labor-market pivot, and the next wave is dated.

FEB 20

SCOTUS kills IEEPA tariffs, 6–3

But Section 232's 25% on autos and parts survives untouched. ~$175B refunds flow to importers — not car buyers.

FEB – JUN

U.S.–Iran war closes Hormuz

Brent peaks ~$119, CPI hits 4.2% in May. Uneasy calm since late July: Brent $82, gas $4.02 — but diesel $5.32, +43% y/y.

MAY 22

Kevin Warsh takes the Fed

Hawkish: guidance scrapped, June dots implied a hike. July 29: held 9–3 — three dissents *for* +25bp, the most one-way since 2016.

Q4'25 – Q1'26

Student-loan defaults hit the bureaus

~3.6M defaults reported, average score −91 points, garnishment running — a credit-score supply shock aimed at the marginal buyer.

AUG 7

The hiring freeze breaks

July payrolls **−23K** — first negative print of the cycle — plus −103K revisions; participation at a 5-year low. Layoffs still at record lows: stall speed without firings. Sept hike odds collapsed to ~44%.

AUG 19 → NOV 10

The next wave is dated

Canada 50% on Canadian-built vehicles Aug 19 (no USMCA relief; talks "nasty" but live) · CA CARS Act Oct 1 · midterms Nov 3 · chip/rare-earth truce expiry Nov 10.

02 · THE REGIME The numbers that run the store

A K-shaped, credit-extended market: **63% of new-car buyers earn $100K+**, ~1M buyers have priced out entirely, and lenders are stretching structure — not price — to keep volume alive.

JULY SAAR

16.3M

▼ missed 16.7M forecast · −1.8% y/y

Retail −1.7%, no fleet rescue. The pull-forward payback arrived on schedule — plan volume off retail.

AVG NEW PAYMENT

$777

▲ record · 3rd straight quarter

20.3% of new buyers now pay $1,000+/mo. Merchandise by payment band, not price.

AMOUNT FINANCED (NEW)

$44,156

▲ record · +$1,768 y/y

Down payments fell to 11.6% of price — the lowest since 2020. Equity formation is weakening.

LOANS AT 84+ MONTHS

23.9%

▲ record · 73+mo now 36.5%

Term is the affordability escape hatch — and the machine that builds the next negative-equity cohort.

NEGATIVE EQUITY / TRADE

–$6,884

▲ record avg · on 29.6% of trades

Underwater buyers pay $944/mo. The 2022 peak-price cohort is at your desk now.

CREDIT AVAILABILITY (CAI)

104.6

▲ loosest since Dec 2015

Approvals 73.8%. The floor under demand today — the accelerant if it turns.

SUBPRIME ABS 60+ DPD

6.9%

▲ 32-year high (prime: 0.43%)

Severity, not frequency: stuck borrowers, heavy extensions, repos at post-2009 highs.

PCE · CORE (JUNE)

3.7% · 3.3%

▼ from 4.1% · best readings in a year

Oil retreat did the work. Still above target — the ~44% September hike pricing is why rate relief isn't a plan.

PAYROLLS **-23K** July · first negative of cycle   CLAIMS **199K** still sub-200K — no layoff wave

FED FUNDS **3.50–3.75%** held 9–3 · ~44% Sept hike priced

ATP **$49,758** flat — but MY26 arriving ~$2,000 higher

INCENTIVES **7.1%** of ATP, 14 months disciplined   GAS **$4.02** +27% · DIESEL **$5.32** +43% y/y

03 · SCENARIOS Five ways this goes — and the wildcard

The single most likely outcome is benign. The **weight** of outcomes is not. Position for margin compression; keep dry powder for scarcity. Arrows show the August re-weight — what evidence moved each probability, per the published governance rules.

A Grinding Soft Landing 27%

No recession. CPI drifts to ~3%, Fed holds (cuts optional late-window), SAAR 15.5–16.3M, labor weak but not cascading.

DEALER POSTURE

Balanced: order to turn, hybrid-weighted, 45-day used clock, expense reset to 2019-plus-inflation.

`Aug: 28 → 27 — disinflation and no-hike support A; the negative payroll print injures its "stable labor" leg`

B Rolling Slowdown 24%

Growth stalls near zero, isolated negative payroll months, incentive discipline breaks, retail SAAR 14.8–15.5M. No NBER event.

DEALER POSTURE

Defensive: 40-day aging, down-market used rotation, marketing to retention, protect techs.

`Aug: 19 → 24 — payroll-revisions condition FIRED (−103K); first negative print; SLOOS demand crack; SAAR miss`

C Conventional Recession 25%

NBER recession inside 24 months. Trigger paths ranked: equity/AI-capex retrench, oil re-shock, trade rupture, credit accident. SAAR trough 13.5–14.5M.

DEALER POSTURE

Survival = liquidity: 30-day used clock, floorplan talks early, fixed ops becomes >60% of gross.

`Aug: 25 → 25 — labor break is C-adjacent, but claims sub-200K, credit loose, equities at records; no double-count with B`

D Sticky Inflation · Hawkish Fed 17%

CPI ≥3.5% persists, no cuts, hikes possible — ~44% September hike still priced. Auto APRs ~8%; SAAR 14.5–15.5M with prices still rising.

DEALER POSTURE

Shortest new position of any scenario; subvention-first desking; nominal used values actually help.

`Aug: 20 → 17 — PCE fell 4.1→3.7, oil retreated, no July hike; three hawkish dissents keep it alive`

E **Upside Reacceleration** **7%**

Oil <$75 sustained (Venezuela + durable peace), CPI to ~2.5% fast, early cuts, real incomes broaden. SAAR >16.5M.

DEALER POSTURE

Offense: rebuild truck/SUV stock, recruit from weak competitors, deploy the fortress balance sheet.

`Aug: 8 → 7 — the payrolls-reaccelerate condition moved the wrong way; cheap oil helps`

The ~40% supply-shock overlay (raised from ~25%)

Not a sixth scenario — a supply state that can land on **any** of the five. The Canada leg is now signed and dated: **50% on Canadian-built vehicles August 19, overriding USMCA preferences**, with talks "nasty" but live and expansion threatened. Behind it: the chip/rare-earth truce expiry (Nov 10) and Hormuz. Mechanics are 2021 on a smaller scale: days' supply crashes on affected brands, pricing power returns, **volume down but gross up**. Offense means inventory — forward-buy parts, pre-order Ontario-built models now, hold gross without apology.

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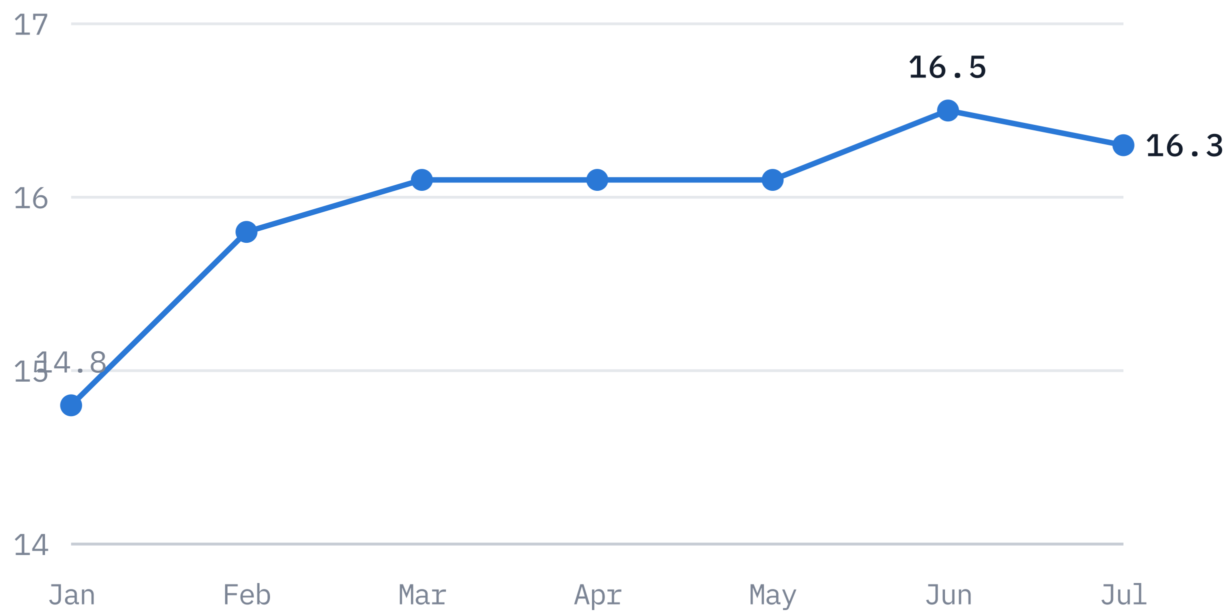
04 · THE PATH What the next two years look like

Base case: a **15.5–16.3M market that grinds**, front-end gross compressing on a glide — not a cliff — carried by record fixed operations. Recession odds accumulate toward 25% by July 2028, loaded into the back half by the policy stack.

2026 sales pace — the July payback

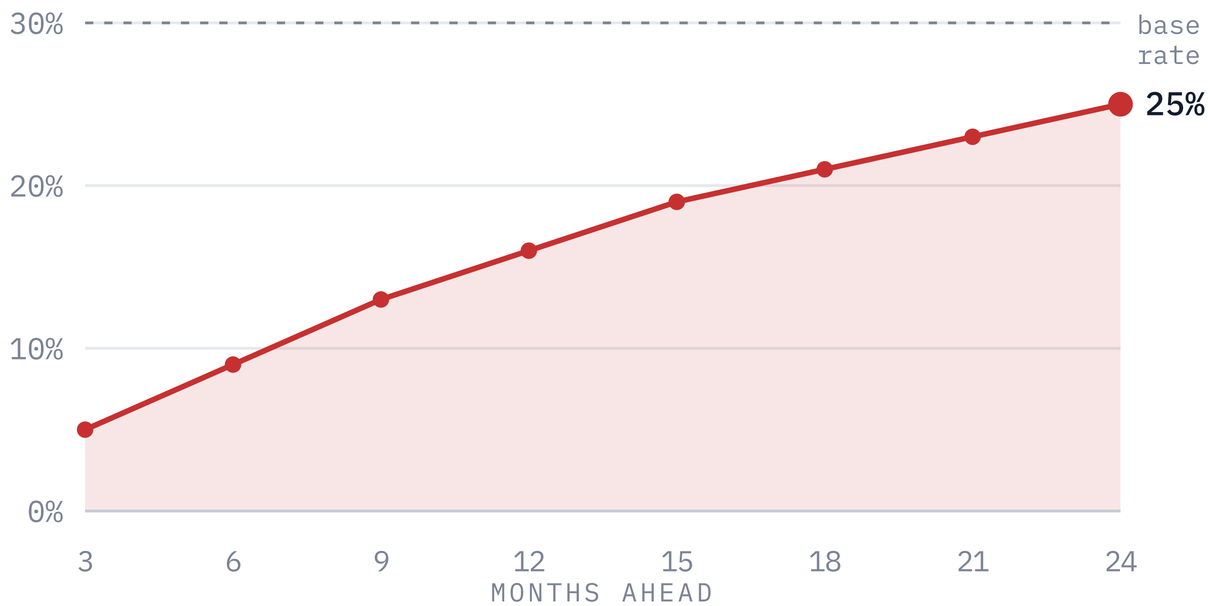
U.S. new light-vehicle SAAR, millions · Jan–Jul actual (Cox)



July printed 16.3M against a 16.7M forecast — retail −1.7% y/y with no fleet rescue. The pull-forward payback we flagged in July arrived on schedule; the Aug–Sep retail/fleet split now confirms or clears it.

Recession odds accumulate late

Cumulative probability an NBER recession has begun, by horizon



Below the ~30% unconditional 24-month base rate — near-term signals are unusually benign — but back-loaded: Canada tariffs, USMCA, truce expiry and priced hikes stack risk into 2027.

05 · AFFORDABILITY

The payment math that matters

Affordability is the binding constraint of the cycle, and it does not resolve in-window. Three computed facts should drive every desking and merchandising decision — validated against Edmunds' reported payment within 1%.

±$21/mo

is all a **±100bp rate move** does to the average new payment. Rates cannot fix a $777 payment — **only price, mix, term, and subvention can**. Stop waiting for the Fed.

$7,989

is the price-cut equivalent of a **0% APR offer** at today's 7% market rate. This is why captives target subvention — and why you steer to subvented trims before discounting.

−2.7%

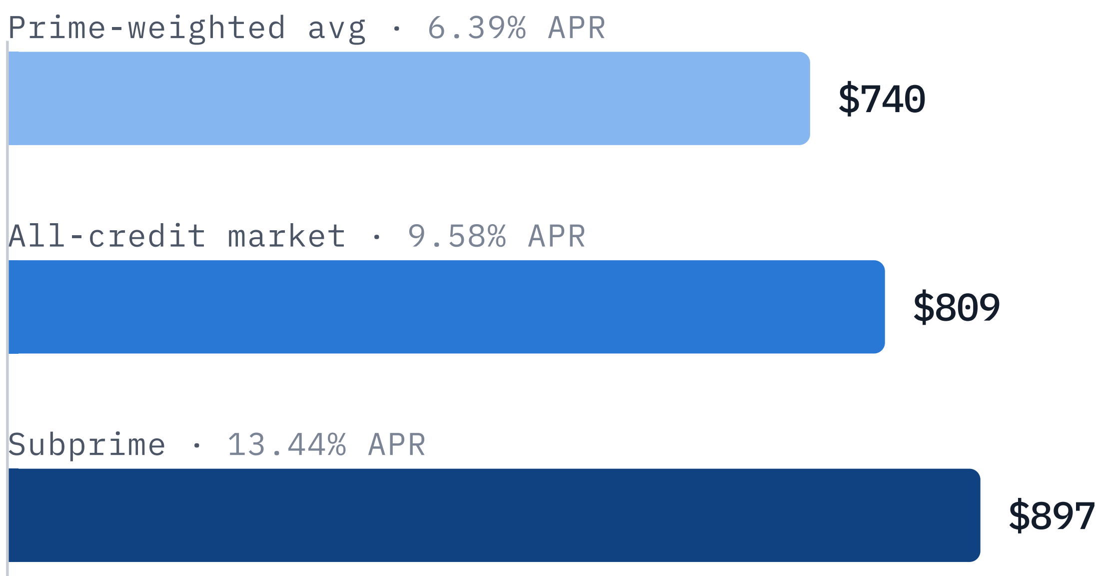
of price offsets a **+100bp rate shock** payment-for-payment. Incentives can neutralize plausible rate moves; they cannot neutralize a $50K ATP.

19.0%

of gross income — payment plus insurance — is what the average new car costs a **$60K household**. At $150K it's 7.6%. That is the K-shaped market in one number.

Same car, three credit files

Monthly payment · $44,156 financed · 72 months



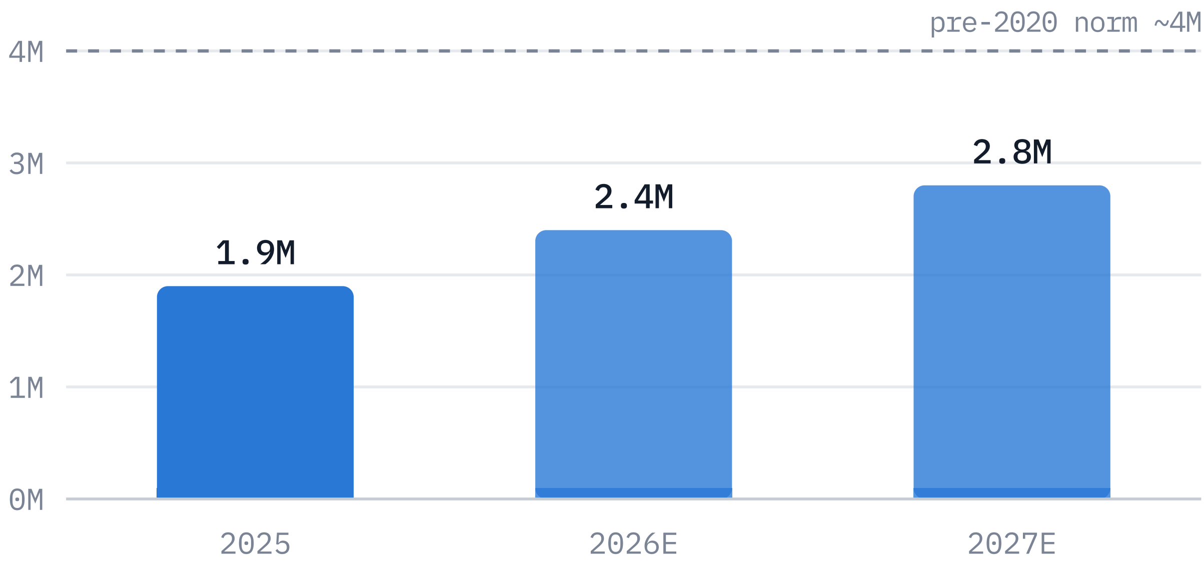
APRs: Experian Q1 prime-weighted average, Cox all-credit market rate (Jun), Experian subprime. The subprime *used* buyer fares worst of all: ~$741/mo for a $30.4K vehicle at 19.4%.

06 · USED & SUPPLY The refuge — with a clock on it

Used is the margin refuge while new compresses: values orderly at **+2% y/y**, cheap cars scarcest (sub-$15K supply at 33 days), and new-car price pass-through pushing buyers down-market. But the off-lease trough is **ending** — and after 2027, the pipeline thins again.

The off-lease wave rebuilds, then recedes

Lease returns to market, millions of units



Even 2027's peak is ~30% below the pre-2020 norm — supply loosens without flooding. Weak 2025–26 lease originations mean a visible 2028–29 scarcity premium: lock sourcing channels now.

How to play it

- **Buy to a 45-day clock, price to market weekly.** The red team's live upside: substitution could push wholesale above +4% y/y — a trigger to lean in, not a comfort to relax.
- **The service lane is the moat.** Sub-$15K units at 33 days' supply — appraise every RO over $500; street-buy programs beat the auction on cost.
- **Used EVs are turn merchandise, not appreciation bets.** Values +12–14% on the gas spike, but EV lease returns are up +230% into 2027 — buy on turn, sell the fuel math, certify the battery.
- **3-yr residuals at a 5-yr low (66% of MSRP)** = softer trade equity ahead; keep ACVs conservative and mine positive-equity customers by CRM, not by hope.

07 · KILL-SWITCH DASHBOARD

Six numbers decide your posture

No single indicator triggers a strategy change. **Two Block-1 triggers firing together** — or one confirmed by your own store data — executes the pre-committed play. No debate, no latency.

Initial jobless claims

● OK

NOW	**199K** · 4-wk avg 198,750 — off the lows, still no layoff wave. Continuing claims creeping (+24K)
WARNING	>260K sustained 4 weeks
PLAY	Defensive set: aging to 40 days, hiring freeze, lender-coverage sprint

Oil, gas & diesel

▲ WATCH

NOW	Brent **$82** · gas $4.02 falling · **diesel $5.32, +43% y/y** — the new freight-cost stress
WARNING	Brent >$100 for 30 days, or gas >$4.50
PLAY	Rebalance to hybrids/compacts/used EVs; re-forecast traffic-sensitive spend

Fed direction

▲ WATCH

NOW	**Held 9–3** Jul 29 (three dissents for +25bp) · ~44% Sept hike priced, falling post-jobs
WARNING	Any 2026 hike, or 2-yr yield >4.75% (now 4.20)
PLAY	Scenario-D set: hedge floorplan, subvention-first, reprice aged units in 7 days

S&P 500 drawdown

▲ WATCH

NOW	**Record 7,758** Aug 7 — rallying on bad news, still AI-concentrated; the one-legged stool stands taller
WARNING	−15% sustained 30 days
PLAY	Cap $60K+ inventory at 30 days' supply; pivot marketing down-market

Auto credit availability

● OK

NOW	CAI **104.6** (June, 5th gain) · SLOOS: standards unchanged, but auto **demand** weaker · July CAI + NY Fed Q2 land Aug 11
WARNING	Two consecutive declines, or your approvals <71%
PLAY	Activate backup lenders; raise minimum cash-down on marginal paper

USMCA / Canada 50%

■ ALERT

NOW	**Fires Aug 19** on Canadian-built vehicles, no USMCA relief · talks "nasty" but live · expansion threatened
WARNING	No deal by Aug 19; Canadian retaliation on autos/parts
PLAY	Forward-buy parts NOW; pre-order Ontario-built models; supply-shock playbook armed

08 · THE 90-DAY PLAN

Every role owns a move

History's one law across 1990, 2001, 2008, 2015 and 2022: **dealer failure is a liquidity event, not a P&L event.** Stores die from floorplan calls, aged-inventory water and lender concentration — not one bad year of gross. The plan is built accordingly.

Dealer principal	• **Liquidity floor:** cash + unused lines ≥ 2 months of fixed expenses; excess into T-bills, not inventory. • Score the store on the Resilience Index; anything under 60 gets a named 90-day fix. • Put the buy-sell posture in writing — buyer, holder, or seller. The record market pays both discipline and courage.
General manager	• Stand up the six-trigger dashboard as a one-page weekly review. • **Expense reset to 2019-plus-inflation** — the 2021–22 windfall is not the baseline. • Pre-negotiate floorplan terms while rates are stable and your leverage is decent.
GSM	• Re-merchandise by **payment band** — lead with sub-$600 used and subvented new. • Install lost-sale reason coding (payment / rate / approval / trade value) — your local scenario detector. • Train the OBBBA interest-deduction close on U.S.-assembled units (~$400–800/yr real value).
Used-car director	• **45-day aging clock, hard.** Water drains at 45, not 60. • Service-lane quota: appraise every RO over $500. • No speculative EV inventory past 30 days without a retail order.

Finance director	• **Add two lenders now** — one credit union, one subprime specialist. 60–90-day lead time; free option. • Shift F&I mix toward products, away from rate markup — the compressible half. • Track approvals, stips and cash-down-required weekly by tier: your local SLOOS, a quarter early.
Service director	• Declined-work recapture program live in 30 days — it is the recession-quarter revenue reserve. • Recall-outreach engine on the Ford wave (~950K vehicles). • One apprentice per four techs, funded now — scarcity worsens in every scenario.
Controller	• 13-week rolling cash forecast, refreshed weekly. • Floorplan interest per unit sold on the daily DOC. • **Stress-test at SAAR 14M / GPU −15% / floorplan +100bp** — present the gap by Sep 1. CA CARS Act audit if exposed.

09 · FALSIFIABLE What would change our minds

Published in advance, per the red team. If you see these before we do, act on the playbook — not this report.

- × **Two or more hikes by December 2026 with payrolls still positive** — the hold-then-cut spine is dead; rebuild around 8%+ APRs as base case.
- × **Canada 50% implemented and U.S.–Mexico talks collapse** — shift to the supply-shock framework: volume down, price up, demand-independent.
- × **A recession signal (Sahm rule) while claims still sit under 220K** — the low-hire/low-fire freeze model broke in a novel way; the indicator set needs rebuilding first.
- × **Nasdaq −25% with top-decile spending flat** (or −10% with spending cracked) — the wealth-transmission model is mis-calibrated either way.
- × **Core CPI above 4% with Brent under $85** — inflation has decoupled from oil and gone expectations-driven; the whole disinflation glide path is void.
- × **Used values +5% y/y during the off-lease build, or credit availability −5 points in a quarter** — the supply model or the credit-floor pillar has inverted; redo the dealer P&L layer.

Method. Supervisor-and-specialist agentic architecture: seven concurrent research agents (macro/labor, inflation/Fed, credit, consumer/housing, auto retail, affordability, policy/field intel), a data-integrity review, and an adversarial red-team economist, across five quality gates. 100+ claims with sources, periods, release dates and confidence ratings in the evidence ledger. Payment math: standard amortization, validated within 1% of reported data.

Honesty. Probabilities are analyst-ensemble judgments, not measurements. Data current through August 8, 2026; the NY Fed Q2 debt report and July credit index (Aug 11), July CPI (Aug 12), and July affordability index (Aug 17) land after this edition and are treated as catalysts, not facts. July's pre-registered predictions are graded in the executive brief. Refresh monthly or on any trigger.

PROJECT ORACLE V3 · v1.1 · 2026-08-08 (v1.0: 2026-07-28) · full package: 00-methodology · 01-executive-brief · 02-horizons · 03-scenarios · 04-evidence-ledger · 05-dashboard · 06-forecast-packet.json · 07-presentation · 08-one-pager